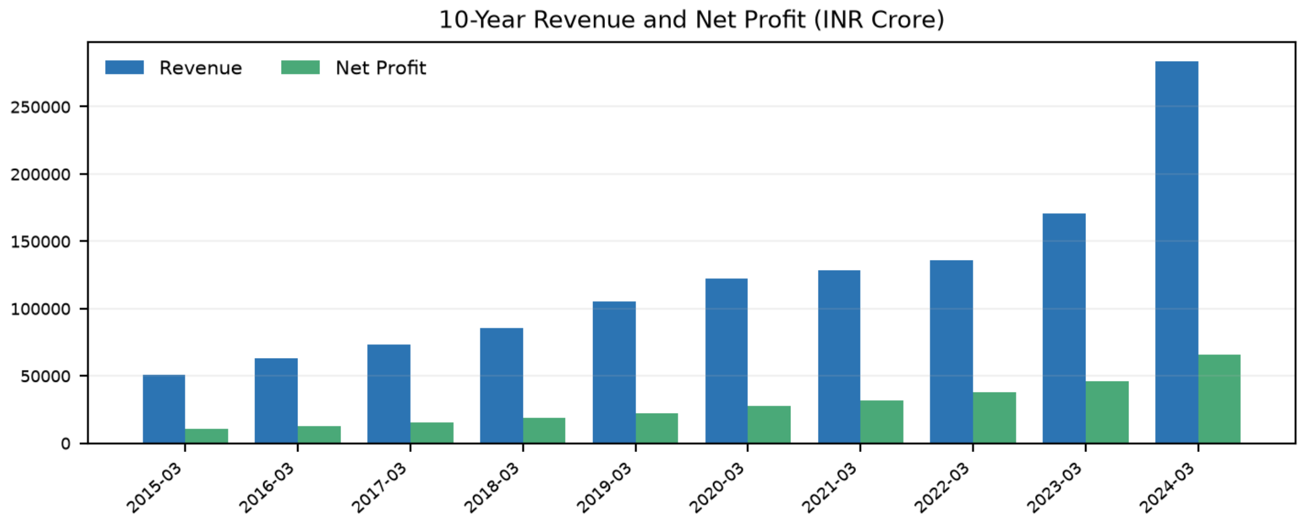
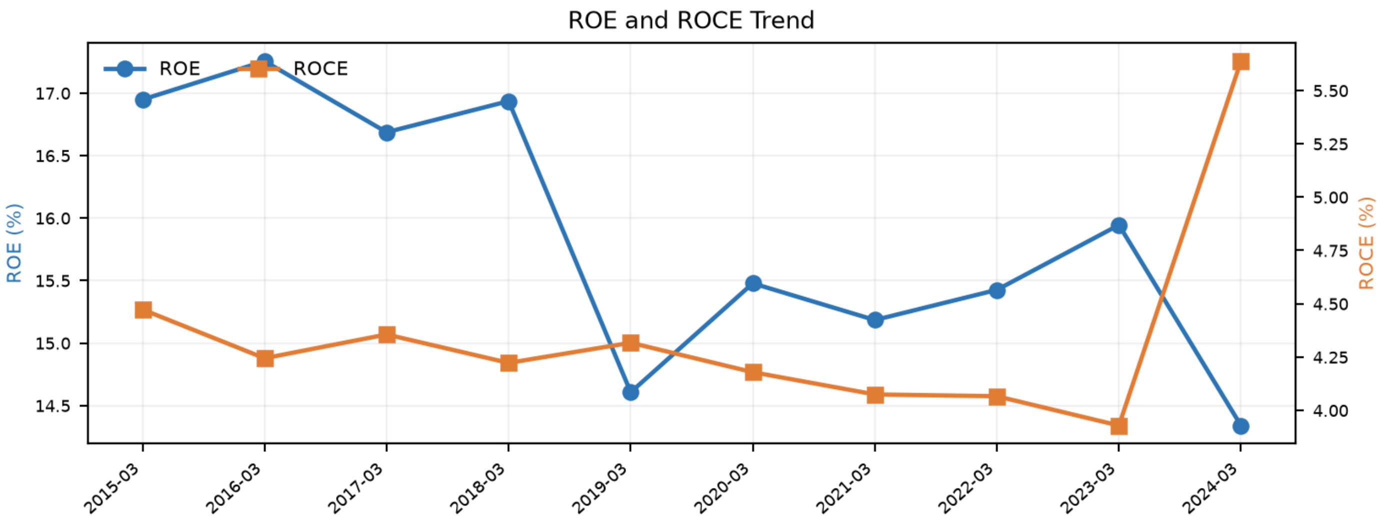
HDFC Bank Ltd

HDFCBANK | Latest fiscal period 2024-03

44.7
HEALTH · Weak

ROE **14.3%**	ROCE **5.6%**	OPM **61.4%**
DEBT / EQUITY **6.8x**	REVENUE CAGR 5Y **22.0%**	P/E **49.4x**

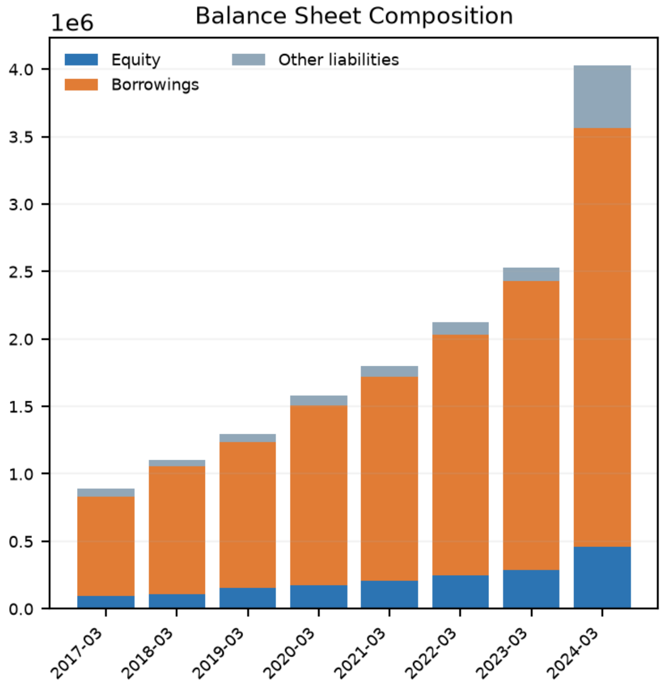


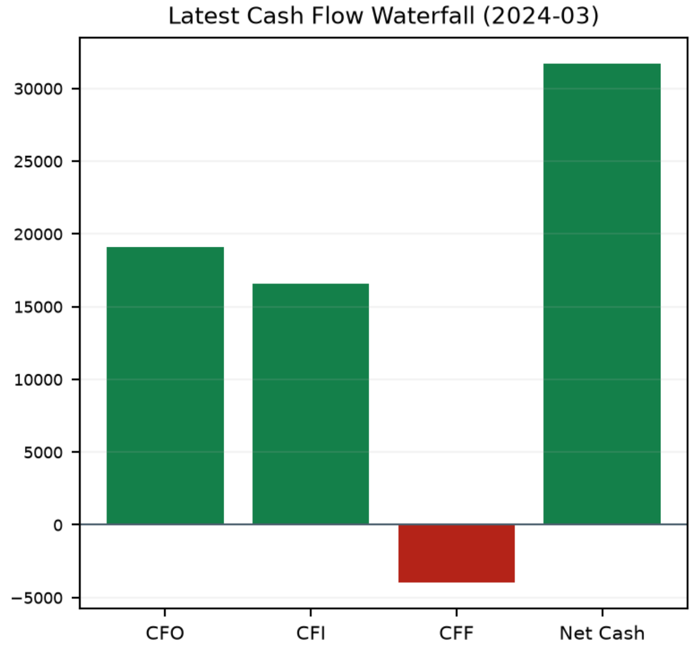


HDFC Bank Ltd

HDFCBANK | Cash Flow · Balance Sheet · Signals

44.7
HEALTH · Weak





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION · ASSET MONETISATION AND DELEVERAGING